

ACCENTURE × SUBAA · NOVACORP PEOPLE ANALYTICS CHALLENGE

What's driving the \$42M and where to act first

O for 4 · 15 August 2026

You asked what's driving \$42M. We found you're counting \$14M of it.

Finance sized the annual people cost at **~\$42M** across three buckets: regrettable attrition (\$22–25M), disengagement (\$12–15M), hiring inefficiency (\$4–6M).

We did not set out to re-litigate that number. We set out to find which parts are **tractable**.

What we found first was a **measurement problem**, and it changes the shape of everything underneath it.

WHERE WE'RE GOING

- 1 What your data is hiding
- 2 Where the loss actually sits
- 3 What it's worth if you act

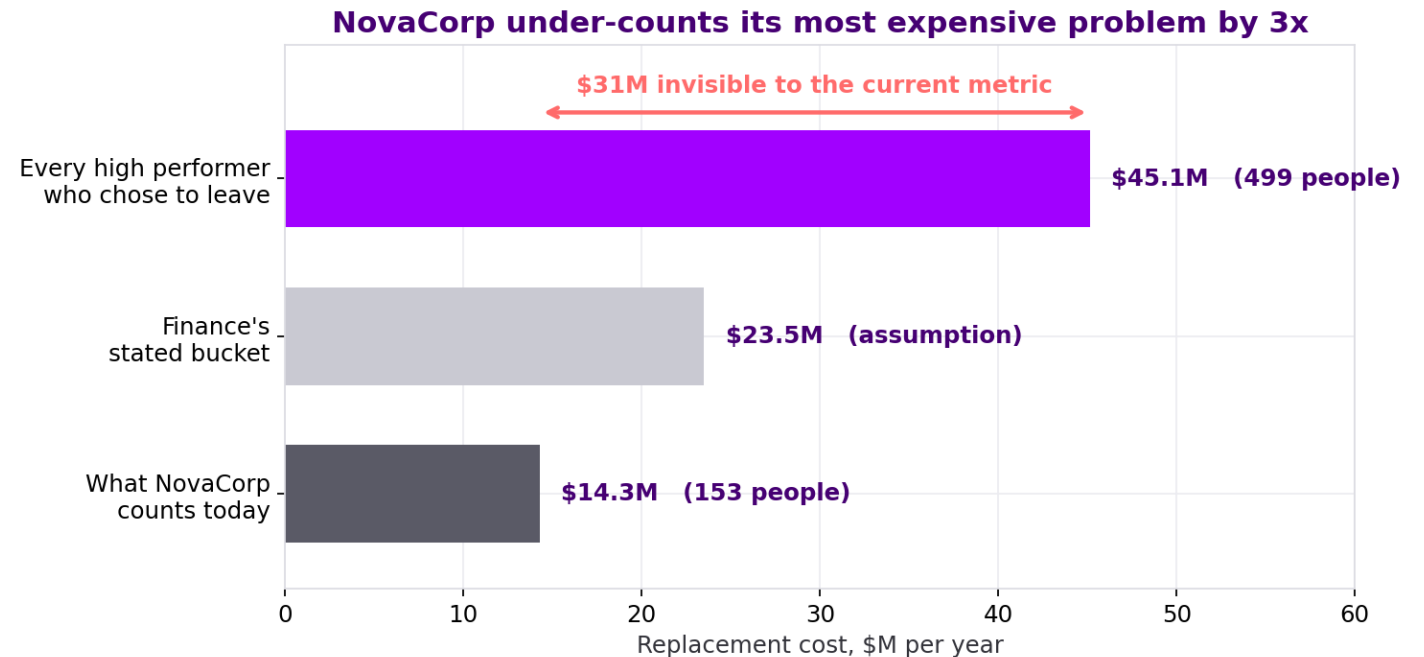
All of it uses your own numbers and Finance's own formulas.

You count \$14.3M of regrettable attrition. The real figure is \$45.1M.

HR's regrettable_flag fires on **153 departures** over two years, which is **\$14.3M/yr.**

Apply a value-based definition, every High Performer or Outstanding employee who **chose** to leave, and it is **499 departures → \$45.1M/yr.**

371 high-performing people walked out and were never recorded as a loss.



The same replacement-cost formula Finance gave us, applied to a population their flag excludes.

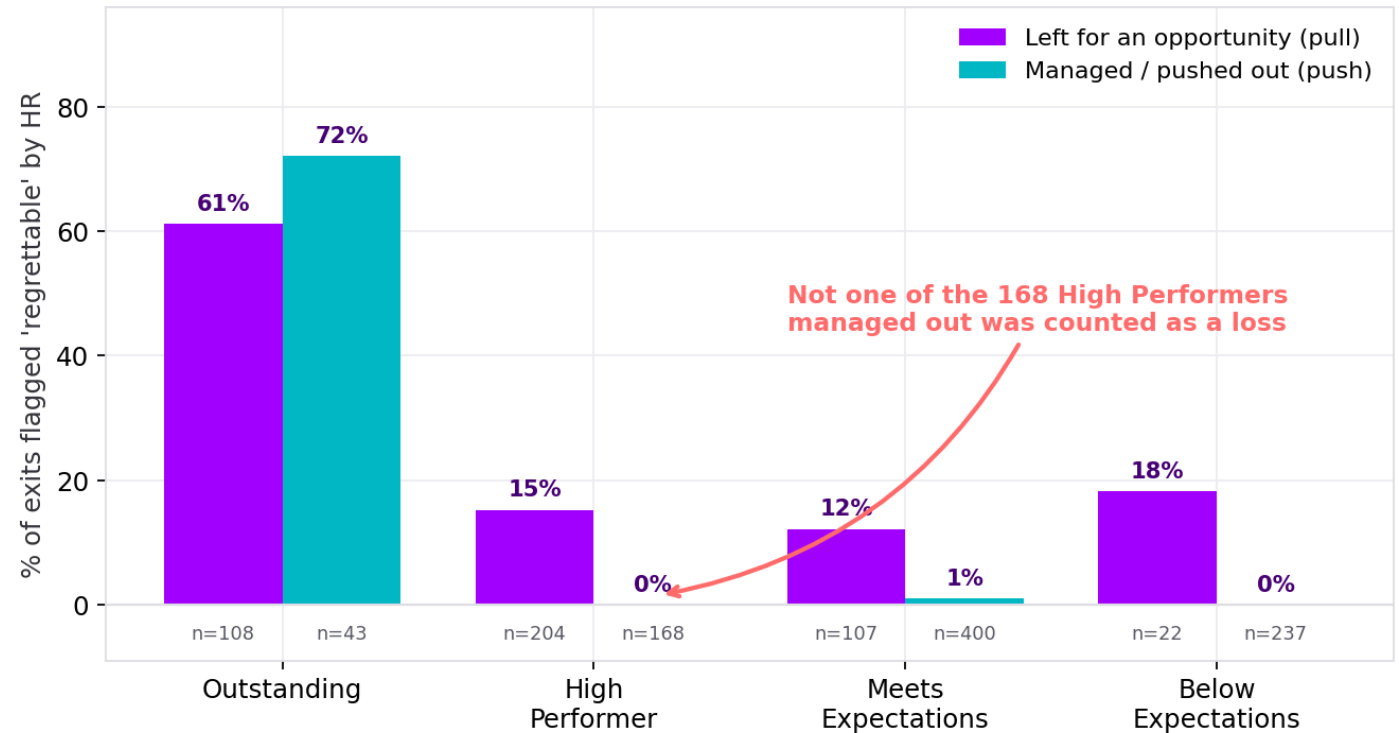
The flag is a synonym for “Outstanding”, not a measure of value lost.

Flag rate by rating: **Outstanding 61–72%**. High Performer **15% (pull), 0% (push)**. Meets Expectations 12% / 1%.

Of the **168 High Performers who were managed out**, zero were flagged regrettable. Not a low rate. Zero.

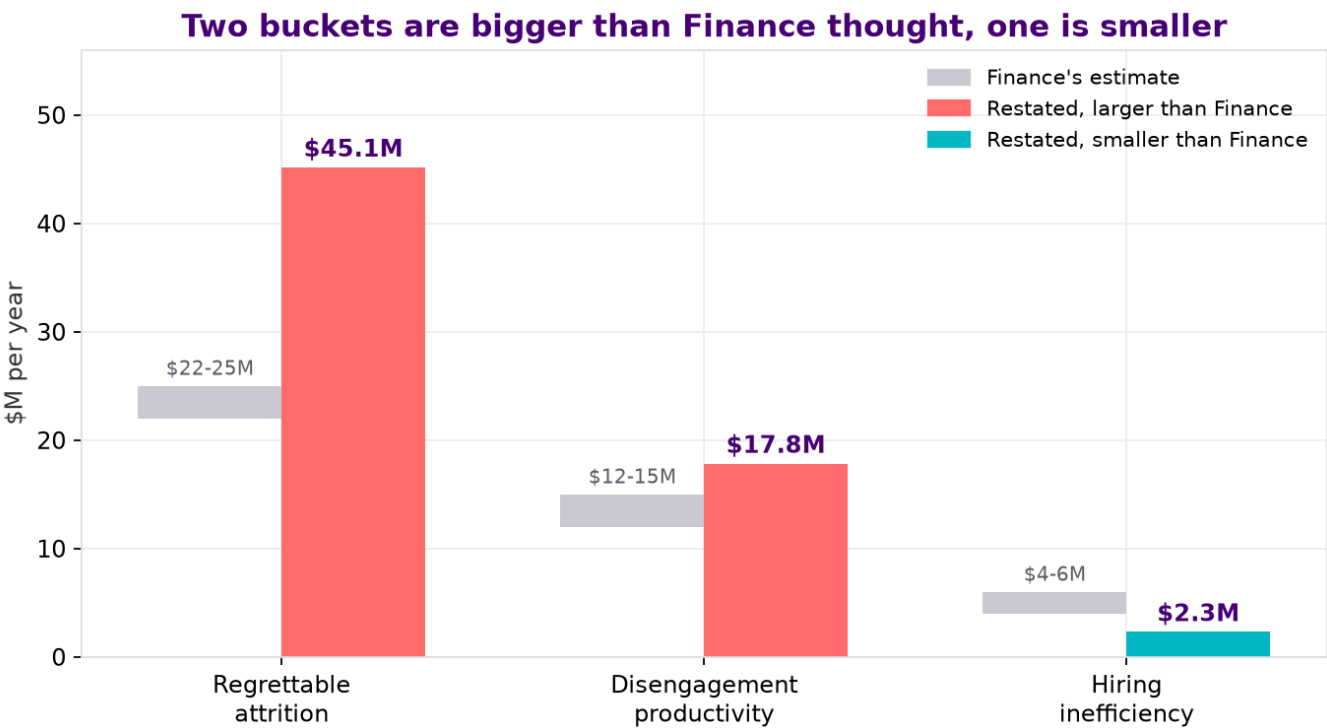
The flag is applied **after** the exit, by the same function that approved it. It records whether a departure was **convenient**, not whether it was **costly**.

The flag is a synonym for 'Outstanding' — not a measure of value lost



Not bad faith. A retrospective, self-assessed metric that structurally exonerates the decision-maker is a justification, not a measurement.

It isn't \$42M. On your own formulas it's \$65M, and the shape is different too.



Finance sized the three buckets at \$38-46M a year, midpoint \$42M. On the data they total \$65.2M, about 1.6× that. All figures from cost_model.py.

Bucket	Finance	On the data
Regrettable attrition	\$22-25M	\$45.1M
Disengagement	\$12-15M	\$17.8M
Hiring inefficiency	\$4-6M	\$2.3M
Total	\$38-46M	\$65.2M

Only one of these moves in your favour, and it's the smallest one. The two that moved against you were both sized with a definition that excluded the expensive cases.

Entity_B loses people at twice Entity_A's rate, and it's the one still on its own HR system.

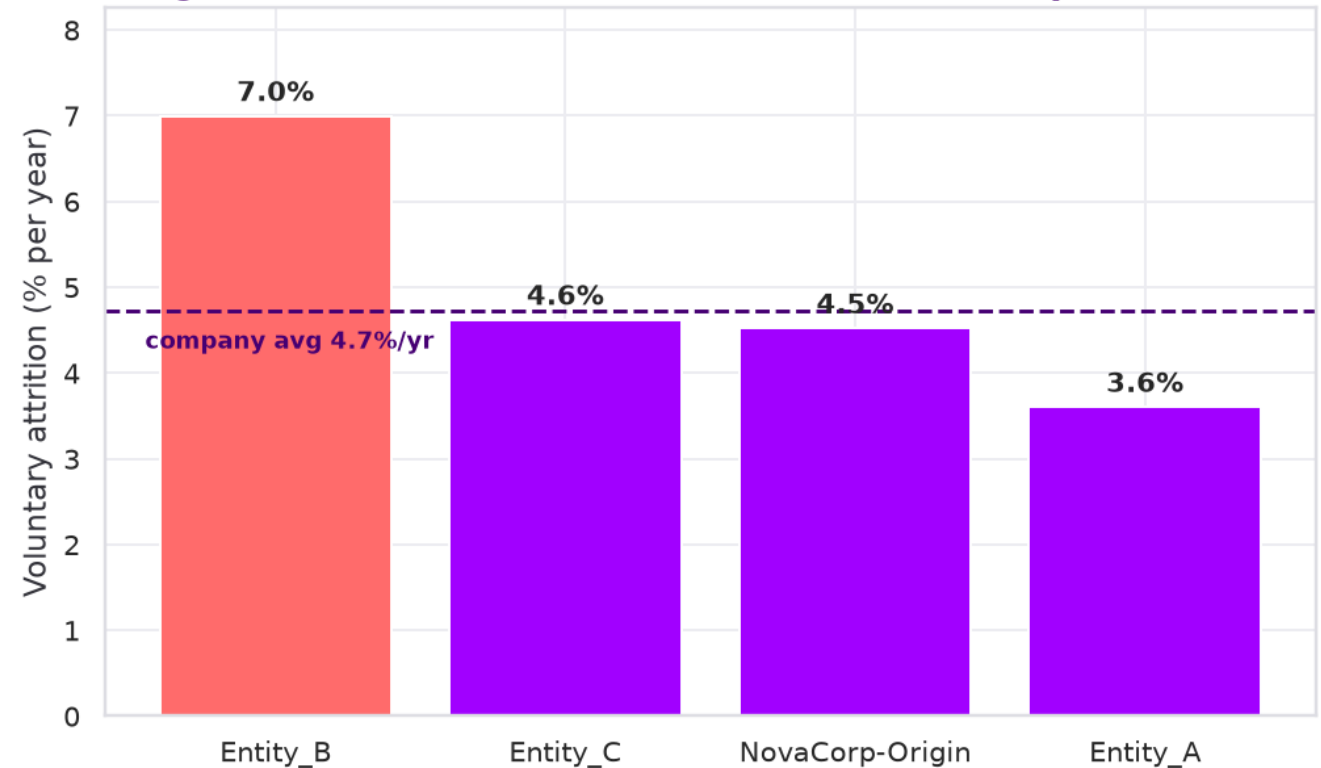
NovaCorp-Origin **4.5%** · Entity_A **3.6%** · Entity_B **7.0%** · Entity_C **4.6%**, per year.

Entity_B vs Entity_A on 1,601 and 1,804 active staff. The most statistically solid finding in the analysis.

Entity_B was acquired in FY2023 and **still runs on BambooHR**, two years on. Entity_A was absorbed onto the core system and is now the healthiest cohort in the company.

Entity_B isn't where the most dollars sit. NovaCorp-Origin holds \$29.2M of the \$45.1M on headcount alone. Entity_B is where the leverage is: \$8.4M in 1,601 people you already know how to fix.

Integration debt: attrition is concentrated in acquired entities



Annualised voluntary exits over active headcount. Active n=12,003 of 13,403 on roster.

Six of eight engagement dimensions are fine. Two collapsed.

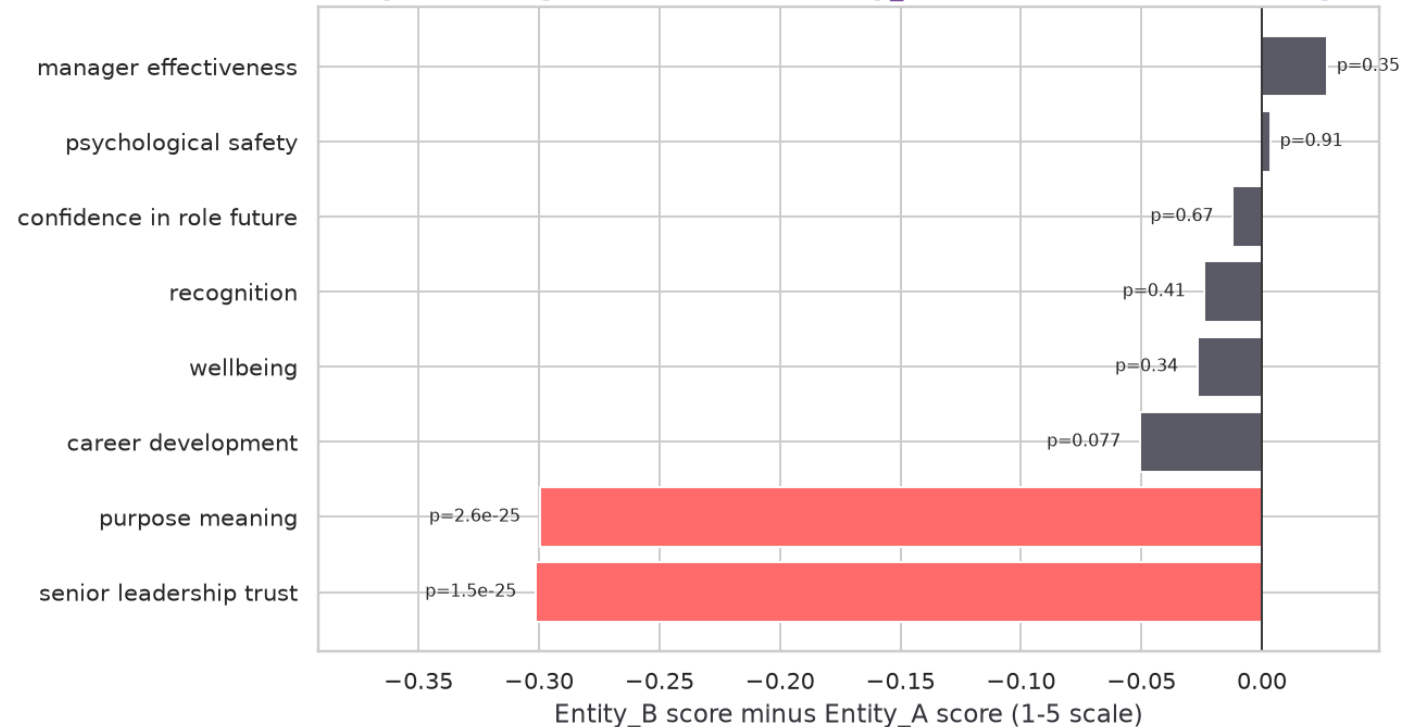
Manager effectiveness: 3.344 vs 3.371, **no difference** ($p = 0.35$).

Psychological safety: 3.351 vs 3.354, **no difference** ($p = 0.91$).

Senior leadership trust -0.301 ($p = 1.5 \times 10^{-25}$). **Purpose & meaning** -0.300 ($p = 2.6 \times 10^{-25}$).

And it isn't money. Entity_B sits at **0.961** compa-ratio against NovaCorp-Origin's **0.937**. They are paid better and leave anyway.

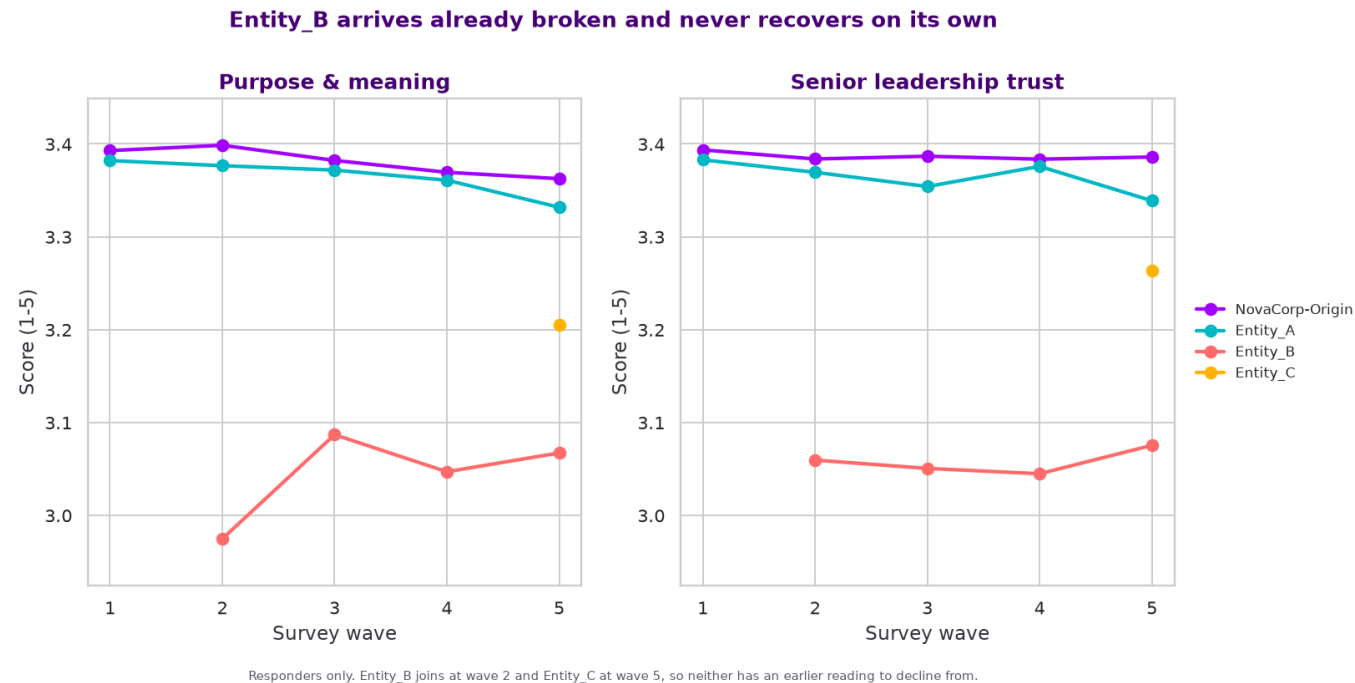
Only two things are broken in Entity_B, and neither is the manager



Employee-level means. Entity_A n=1,938, Entity_B n=1,697. Welch t-test, coral where $p < 0.01$ and gap > 0.1 pt.

Why it never showed on your dashboard: the composite index averages all eight dimensions, so two collapsed scores are diluted by six healthy ones. A gap of 0.085 that looks like nothing.

There was no decline to detect. Entity_B's first-ever survey was already broken.



Entity_B's **first** measurement: purpose 2.975, trust 3.060, against NovaCorp-Origin's steady 3.38. A year later: 3.067. **Flat.**

Survey response rate: Entity_B **62.6%** vs Entity_A **83.8%**, 21 points lower.

307 employees were never issued a survey at all. 152 of the mid-window leavers among them sit on the Entity_B and Entity_C legacy systems.

They weren't silent. **They were never asked.**

Entity_A is at 3.6%, below NovaCorp's own 4.5%. Integration works.

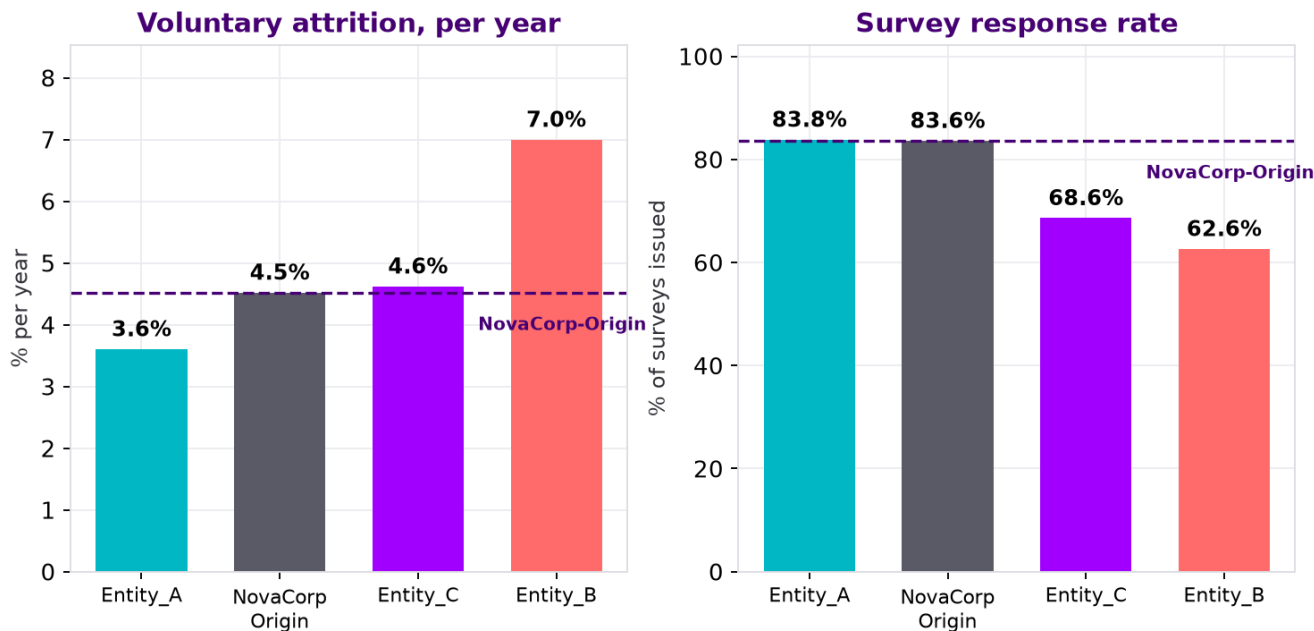
Entity_A (FY2022, fully integrated) is now the **safest cohort in the company**, better than NovaCorp-Origin itself.

Its survey response rate has recovered to **83.8%**, indistinguishable from NovaCorp-Origin.

Entity_C (late FY2024) is at **4.6%** and statistically indistinguishable from Entity_A. It is **not** a second Entity_B yet.

This turns the recommendation from “we hope this helps” into “you have already done this once, in this company, with this workforce.” It also sets your success measure.

Entity_A was integrated and recovered on both measures. Entity_B was not.



Attrition is annualised voluntary exits over active headcount (n=12,003). Response rate is the mean of each employee's own rate across five waves (n=13,096 employees).

Attrition is annualised voluntary on active headcount. Response rate is the mean of each employee's own rate across five waves. Entity_A vs Entity_C, p = 0.101, not significant.

Three actions, in order. The first one is free.

1 Redefine what counts as a regrettable loss

~\$0 • policy • this quarter

Include High Performer alongside Outstanding. Separate the flag from the function that approved the exit. Review quarterly. Restates your baseline immediately and fixes next year's \$42M at source.

2 Finish the Entity_B integration, as a trust problem not a systems problem

inside the guided \$40-50M FY26 integration budget

Migrate off BambooHR. Stabilise the Senior Manager layer first — Entity_B loses L3s at 9.8%/yr against Entity_A's 2.9%, a 3.4× gap — or there is nobody credible left to communicate the integration. Then leadership visibility and honest communication. Not manager training.

3 Measure acquired cohorts from day one, at cohort level

~\$0

Baseline every acquired group against company norms at their first survey. Track response rate as a health metric in its own right. Fix the 307 who were never surveyed.

Notice what's not on this list: a pay round, a manager training programme, and cutting agency recruitment. The data rules out all three.

\$71M addressable. The cheapest lever is the largest.

Lever	Addressable	@20%	@40%	Cost to act
Redefine regrettable_flag + quarterly review	\$45.1M	\$9.0M	\$18.1M	~\$0 (policy)
Disengagement (813 staff below 2.5)	\$17.8M	\$3.6M	\$7.1M	programme-dependent
Early-tenure / acquisition onboarding	\$7.9M	\$1.6M	\$3.2M	~\$500–800/head
of which Entity_B specifically	\$6.2M	\$1.2M	\$2.5M	

The 20% and 40% are assumptions, not findings. That's the band typically claimed for targeted retention programmes. We show both so the decision doesn't depend on the optimistic one. The first lever is a definition change, so its return isn't capped by budget at all.

\$7.9M is the corrected figure.

An earlier draft said \$29.6M. That counted the baseline early attrition every employer carries, not the excess attributable to the acquisition cohorts. Method and restatement in appendix A7.

All figures from cost_model.py. The 20% and 40% reduction rates are assumptions, not findings. Entity_B's \$6.2M is a subset of the \$7.9M early-tenure lever, not additional to it.

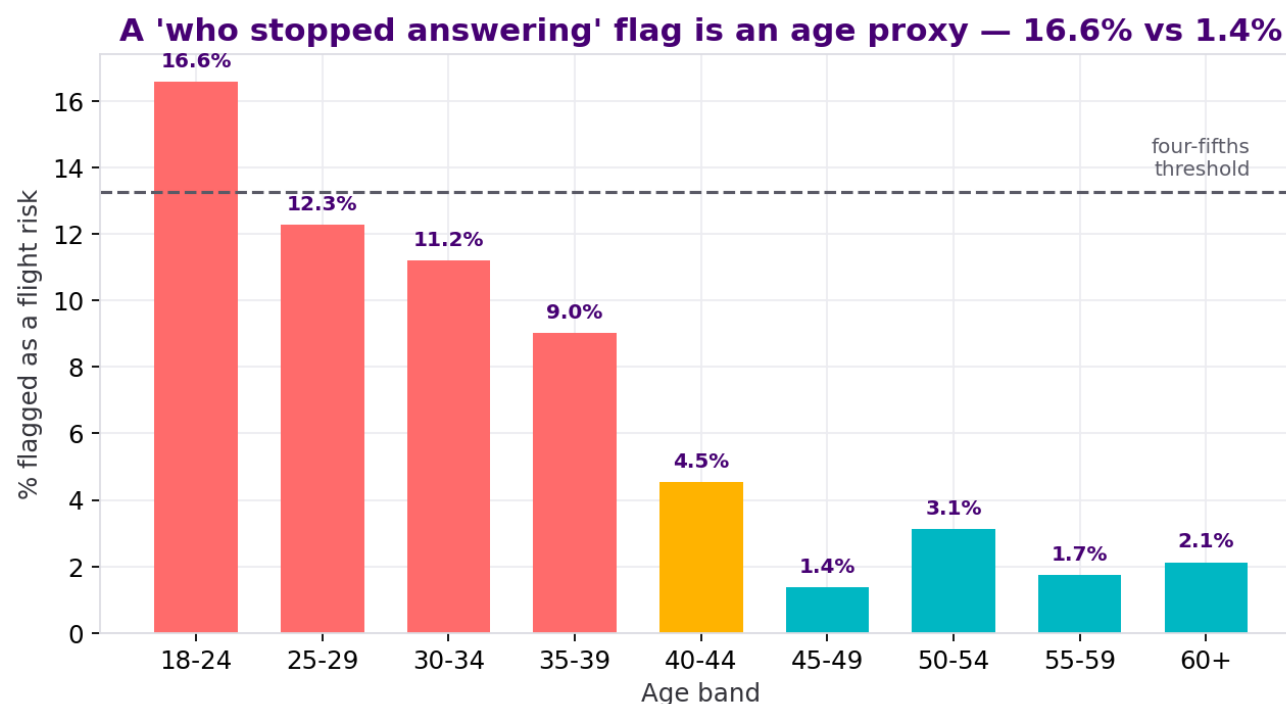
A “who stopped answering” flag looks free. It flags 21.6% of under-25s and 3.3% of 45–49s.

The obvious move from our own analysis is a flight-risk score built on survey silence. **We recommend against deploying it at individual level.**

Under the **four-fifths rule** it fails on age (impact ratio **0.15**), on role level (L1 9.2% vs L5 1.4%) and on acquisition cohort (Entity_C 36.9%, Entity_B 28.2% vs Entity_A 4.1%).

It is also **wrong most of the time**: 901 flagged, **precision 23%**. The dominant outcome is a career conversation about someone who was never leaving.

Low response is concentrated in the acquisition cohorts, so the flag is substantially measuring **integration failure**, not individual intent.



We're showing you the thing we decided not to recommend. In a performance or redundancy conversation this is a discrimination exposure that costs more than the attrition does.

Team-level diagnostic, disclosed to staff, never an individual score.

- 1 Never as an individual score handed to a manager.**
23% precision. Three in four flagged people were never leaving.
- 2 Team level only, minimum 8 responses.**
Reported as a diagnostic, not a prediction.
- 3 Tell employees the participation metric exists.**
If the survey was sold as confidential, quietly re-using non-response as a personal risk score breaks that promise. Once staff work it out, response rates collapse and you lose the instrument entirely.

WHAT WE DELIBERATELY DID NOT DO

No demographic features in any model.

Gender, age and cultural background appear only as fairness-audit dimensions, never as predictors.

No individual employees or managers named.

Manager results aggregated, suppressed below 8 reports.

No causal language.

Association only. We never claim one thing caused another.

The limits of this analysis, stated before you ask.

Two-year window, annualised. All rates are $\text{voluntary exits} \div 2 \text{ years} \div \text{active headcount} = 4.7\%/yr$. Your FY2025 Annual Report's "10.4% voluntary attrition" is total attrition including 267 involuntary exits across the full two years. It reproduces exactly as $1,400/13,403$. **We restate; we don't accuse.**

We cannot see pre-acquisition Entity_B. They may have arrived unhappy from their previous employer. We genuinely cannot rule this out.

Engagement is only observed for responders, and leavers responded less, so every disengagement figure is a lower bound.

Association, not causation. Senior Manager churn and collapsed trust move together. We cannot say which drives which.

regrettable_flag, performance_band_at_exit and stated_exit_reason are retrospective HR judgements. We use them as the object of analysis, not as ground truth.

The 2025-H2 review cycle is missing, so performance data is up to 12 months stale for some leavers.

Small samples above Level 4. Nothing above L4 is reliable: 279 people at L4, 103 above it.

On a strict voluntary reading you have already met the FY2026 sub-9.5% target. That's worth resolving before the next board pack.

Start with the free one.

THIS QUARTER

Redefine regrettable.

Cost ~\$0. It restates your baseline and stops you funding a budget line built on a blind spot.

THIS HALF

Finish Entity_B.

Senior Manager layer first, then leadership visibility.
\$8.4M concentrated, inside a budget you have already guided.

ONGOING

Baseline every acquired cohort from day one.

Entity_C is healthy today. It does not have to become the next Entity_B.

You already have the money set aside.

The Annual Report commits to a People Reinvention Programme three times. This is what we'd spend it on, and this is what we'd measure.